OFFICIAL ANSWER SHEET

Ultimate Accountancy Master Paper (37 Questions)

These answers are derived from the marking schemes and recurring patterns found in the 2022-2024 Board Papers.

PART A: PARTNERSHIP & COMPANIES

1. (c) Interest on Loan from a partner is allowed @ 6% p.a.

Reasoning: In the absence of a deed, no IOC or Salary is allowed, and profit is shared equally. Only interest on partner's loan is allowed at 6% p.a.

2. (a) Both A and R are correct and R is the correct explanation of A.

Reasoning: Partners have unlimited liability, meaning their private assets can be used to settle firm debts if firm assets are insufficient.

3. (a) ₹ 1,50,000

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Calculation: C brings ₹ 30,000 for 1/5th share. Total Capital =
₹ 30,000 × (5/1) = ₹ 1,50,000.
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4. (c) Amount already received (forfeited) on such shares.

Reasoning: The maximum discount on reissue cannot exceed the amount forfeited on those specific shares.

5. (b) Over the tenure of debentures.

Reasoning: Discount/Loss on issue is written off over the life of the debentures or as per the specific accounting policy.

6. (b) Realisation A/c Dr to Partner's Capital A/c

Reasoning: Since the firm has to bear the expense but the partner paid it, the firm credits the partner (reimburses them) and debits Realisation.

7. (b) 13 : 10

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Calculation: Total Applied 1,50,000 - Rejected 20,000 = 1,30,000
Active Applications. Shares available = 1,00,000. Ratio = 13:10.
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8. (b) 7.5 months

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Formula: (Time left after 1st drawing + Time left after last
drawing) / 2 = (12 + 3) / 2 = 7.5 months.
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9. ₹ 10,000

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Calculation: Commission = Net Profit × (Rate / 100 + Rate) =
1,10,000 × (10/110) = ₹ 10,000.
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10. Journal Entries (Issue for Consideration):
1. Assets A/c Dr 8,00,000 To Vendor A/c 8,00,000
2. Vendor A/c Dr 8,00,000 To Equity Share Capital A/c 6,40,000; To Securities Premium A/c 1,60,000

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Note: No. of Shares = 8,00,000 / 125 = 6,400.
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11. ₹ 20,000 (Assuming equal partners)

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Step 1 (Profit %): 2,00,000 / 10,00,000 = 20%.
Step 2: Sales (3L) × 20% = ₹ 60,000.
Step 3: Z's share (1/3) = ₹ 20,000.
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12. Dissolution Entries:

(i) Realisation A/c Dr 8,00,000 To Bank A/c 8,00,000 (Creditor 20k - Stock 12k value agreed = 8k paid).
(ii) A's Cap A/c Dr 6,000; B's Cap A/c Dr 4,000 To Realisation A/c 10,000 (Loss distributed 3:2).

13. Debenture Entries:

(i) Bank A/c Dr 1,90,000; Loss on Issue Dr 10,000; To 9% Debentures 2,00,000.
(ii) Bank A/c Dr 1,90,000; Loss on Issue Dr 30,000 (10k disc + 20k prem); To 9% Debentures 2,00,000; To Premium on Redemption 20,000.

14. Executor Balance: ₹ 2,40,000

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Credits: 2L (Bal) + 5k (IOC) + 40k (G/W) + 15k (Profit) = 2.6L.
Debits: 20k (Drawings). Net = 2.4L.
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15. A sacrifices; B & C gain.

Entry: B's Capital Dr and C's Capital Dr to A's Capital.

16. Notes: Long Term Borrowings: Loan from SBI: ₹ 5,00,000. Secured by issue of 6,000, 10% Debentures of ₹ 100 each as collateral security.

17. Capital Reserve: ₹ 1,280

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Gain was 3.6/share. Used 2.0 (reissue disc). Net 1.6 × 800 =
1,280.
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20. Writing off Loss: Securities Premium Dr or Statement of P&L Dr 1,60,000 To Loss on Issue of Debentures 1,60,000.

PART B: ANALYSIS OF FINANCIAL STATEMENTS

21. (c) Balance Sheet (It is a statement, not a tool for analysis).

22. (a) To establish relationship between various items.

23. (c) Cash and Cash Equivalents.

24. (a) Both A and R are correct.

25. (b) Decrease ratio.

26. (a) Operating Activity (For a finance company).

28. Headings:
(i) Loose Tools: Current Assets / Inventories
(ii) Calls in Advance: Current Liabilities / Other Current Liabilities
(iii) Provision for Tax: Current Liabilities / Short-term Provisions
(v) Computer Software: Non-Current Assets / Intangible Assets.

30. Ratios:
ITR = 8 Times (4L/50k)
WCTR = 6.25 Times (5L/80k).

31. Inventory: ₹ 3,00,000

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CA (4.5L) - Liquid Assets (1.5L) = 3L.
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33. Classification:
(i) Operating (ii) No Cash Flow (iii) Investing (iv) Financing.

35. CFI: Net Used (1,85,000)

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Sale (+35,000) - Purchase (-2,20,000).
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